

INDIAN ECONOMY

LEVEL
II



TERMINOLOGY

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MODULE - 2

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WASHINGTON CONSENSUS

- These are set of economic policy recommendations for developing countries.
- These were agreed upon between IMF, World Bank and US Department of Treasury.
- These are towards operation of **free market** and the **reduction of State involvement**, which the Consensus feels crucial for the development
- It was strong dogmatic belief that developing countries should adopt **market-led development strategies** that will result in economic growth, which will trickle down to the benefit of all.



John Williamson
British Economist



He used the term for the first time.



The World Bank and IMF were able to promote that view throughout the developing world. Whenever, they make loans, they talk about structural adjustment programmes.

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WASHINGTON CONSENSUS

SOME OF THE WASHINGTON CONSENSUS
POLICY PRESCRIPTIONS

- Fiscal discipline
- Redirection of public expenditure priorities
- Tax reforms
- Interest rate liberalization
- Competitive Exchange Rate
- Privatization
- Liberalization etc.



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TRICKLE DOWN EFFECT

- The theory assumes, when wealth is created by the capitalists, it trickles down to the sections, which are downtrodden.
- If high-income earners gain an **increase in salary**, then everyone in the economy will benefit as their increased income and wealth **filter through to all sections in society**.



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STATE INTERVENTION

- It is any action carried out by the Government that affects the market economy with direct objective of having an **impact in the economy**.
- It defends the use of different economic policies in order to compensate the **flaws** of the economic system that give way to large **economic imbalances**.
- Fiscal and Monetary policies are examples of State Intervention.



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MARKET SOCIALISM

- Market Socialism is also known as Liberal Socialism.
- It is compromise between socialist planning and free enterprises.
- The enterprises are **publicly owned**, but the production and consumption are guided by the **market forces**, rather than by **Government planning**.
- A form of market socialism was adopted in Yugoslavia in 1960s and it is different from Centrally Planned Socialism of the Soviet Union.



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ZERO-SUM GAME

- Economy is not a Zero-Sum Game.
- Zero-Sum game means gains made by some people are equal to the losses suffered by other people.
- However in the economy, there will always be more winners than losers.
- This is because the economy is growing in the long run and both parties benefit from an exchange.



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VELOCITY OF MONEY

- It is a measurement of the rate at which money is exchanged in an economy.
- It is the number of times that money moves from one entity to another.
- It also refers to how much a unit of currency is used in a given period of time.



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NOMINAL RATE OF RETURN

It is the rate of return generated by a business activity without considering the affect of inflation.



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REAL RATE OF RETURN

It is the rate of return generated by a business activity by considering the affect of inflation.

EXAMPLE FOR NOMINAL/REAL GROWTH

- Production in 2018-19 ... Rs. 100 Cr
- Production in 2019-20 ... Rs. 105 Cr
- Nominal growth ... 5%
- Inflation ... 3%
- Real growth ... 2%

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GOLDEN HANDSHAKE

A generous payment made by a company to its employees for quitting the service prior to their retirement.



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HOARDING

Hoarding is the purchase of large quantities of a commodity by a speculator with the intent of benefiting from future price increases.



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GREY MARKET

- It refers to the trade of a commodity through distribution channels that are not authorized by the original manufacturer or trade mark proprietor.
- In the securities market, a grey market is a market wherein a company's shares are traded before they are issued in an Initial Public Offering (IPO).



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HAIRCUT

1

Percentage difference between an asset's market value and the amount that can be used as collateral for a loan.



2

The amount foregone during a resolution.



Loan due ...
Rs. 100 Cr

Recovered ...
Rs. 60 Cr

Haircut ...
Rs. 40 Cr



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